

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DNR

Date: 5/14/2026

Bill Number: HB194

Short Title (as it appears on BASIS): OIL/GAS CORP. INCOME TAX; ROYALTY SALE

What action do you recommend the Governor take?

Select one.

☐ SIGN ☒ VETO ☐ LWOS

Recommendation depends on Senate action, please see below

Action Justification – Why do you recommend the above action?

Please be specific.

The current bill has not passed out of the legislature. The original bill approved the sale of royalty oil to Marathon, however the Senate amended it to include a pass-through entity (or “S-Corp”) tax provision. The House did not agree with the Senate amendments. If the Senate recedes from their amendments, DNR recommends signing, as the original bill was a governor's bill. If the final bill retains the pass-through entity tax, DNR does not take positions on tax legislation, but understands that other policy priorities may weigh in favor of vetoing the bill even if the royalty oil sale approval is included as well. At this time Marathon has confirmed they do not need to finalize the contract, so vetoing the bill will NOT negatively affect Marathon or the State's royalty options.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

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The original bill approved a contract to sell State Royalty-in-kind (RIK) oil to Marathon for their Nikiski refinery. State RIK sales generally earn a small premium versus royalty-in-value, earning the State a small incremental revenue stream that contributes to the General Fund, the Permanent Fund, and the School Fund. As noted, at this time Marathon has confirmed they no longer need this volume of royalty oil, so the bill is of limited utility.

As amended, the bill includes provisions to institute a new corporate income tax on pass-through entities involved in oil & gas operations in Alaska, in addition to approving RIK sales.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1-3: Implements a new state corporate income tax on oil & gas pass-through entities.

Section 4: Authorizes DNR to sell royalty oil to Marathon for the Nikiski refinery.

Section 5: Makes the tax imposed on pass-through entities effective retroactively to January 1, 2026.

Section 6: Includes transition provisions for payment of the pass-through entity tax in the first year.

Section 7: Authorizes DOR to pass regulations that would be retroactive to January 1, 2026 to implement the pass-through entity tax.

Section 8: Makes Sections 1-3 and 5-7 retroactive to January 1, 2026.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

SB 176 – Companion Senate bill. Was moved through Senate Resources to Senate Finance.

HB 194 superseded SB 176 when the House passed HB 194.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phone numbers of those who testified in support or in opposition of this bill.

Support (RIK Sales): Refining industry (Casey Sullivan, Marathon’s Government and Public Affairs Manager, 907-230-9614), Alaska Oil & Gas Association (Steve Wackowski, AOGA President, 907-279-8114), fiscal plan proponents, Kenai Peninsula Borough economic development proponents

Opposition (RIK Sales): Environmentalists

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Support (Pass-through Entity Tax): Fiscal plan proponents, Environmentalists

Opposition (Pass-through Entity Tax): Oil & gas industry, economic development proponents,
Southcentral energy security proponents

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

DNR does not suggest a signing ceremony.

Commissioner's Signature:  **Date:** 5/14/26

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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